

RESPONSE TO IRS LETTER 86C (JUNE 11, 2026)

RE: CHALLENGE TO FRIVOLOUS RETURN DESIGNATION

Date: July 01, 2026 **Taxpayer:** Isiah Howard **Tax Year:** 2024 **Subject:** Formal Dispute of Frivolous Designation and Request for Reinstatement of Amended Return (Form 1040-X)

1. STATEMENT OF DISPUTE

I am writing to formally challenge the “Frivolous Return” designation referenced in Letter 86C dated June 11, 2026. This designation appears to be based on a misunderstanding of the corrective nature of my 2024 Amended Return (Form 1040-X). I am requesting that the IRS immediately reinstate the processing of this return and reverse any related penalties.

2. BASIS FOR CHALLENGE: THE “NAKED ASSESSMENT”

The IRS assessment of 74,280 *in tax for 2024 is based on an Adjusted Gross Income (AGI) of* 236,987. However, the IRS’s own internal records contradict this assessment:

- **Evidence Source:** IRS Wage & Income Transcript for Tax Year 2024.
- **Finding:** The transcript shows **\$0.00** in third-party reporting (W-2, 1099, or other information returns).
- **Legal Argument:** Under established tax law, an assessment that lacks any evidentiary foundation from third-party records is considered a “naked assessment.” My 1040-X was filed to correct a factual reporting error and align my tax liability with the actual income documented by the IRS.

3. ADMINISTRATIVE CONSISTENCY: NJ ACCEPTANCE

The logic used in my 2024 Amended Return—the reclassification of income—has already been validated by another government entity:

- **Evidence Source:** New Jersey Division of Taxation (Accepted 04/11/2026).
- **Finding:** The State of New Jersey accepted the exact same financial reclassification and issued a refund of **\$13,561.00**.
- **Argument:** The IRS’s designation of this same logic as “frivolous” is inconsistent with the findings of the NJ Division of Taxation. This discrepancy warrants a manual review of the facts rather than an automated penalty.

4. STATUS OF REMITTANCES

I have submitted a total of **\$250,000.00** in remittance materials to the IRS (verified by Certified Mail and Fax records). These materials have been retained by the IRS but not applied to my account. I am requesting a formal accounting of the disposition of these materials. If they have been rejected, please provide the specific legal basis for the rejection and return the originals.

5. GOOD FAITH COMPLIANCE

To demonstrate my commitment to full compliance, I am in the process of filing a standard and accurate 2025 Tax Return. My intent is not to disrupt the administration of tax laws but to ensure that my 2024 liability is based on documented facts rather than an erroneous original filing.

6. CONCLUSION & REQUESTED ACTION

I respectfully request the following:

1. **Reverse the Frivolous Designation:** Acknowledge that the 1040-X was a good-faith attempt to correct a reporting error.
2. **Manual Audit:** Perform a manual review of the 2024 account, comparing the assessment against the empty Wage & Income transcript.
3. **Halt Collection:** Maintain the "Blocked Levy" status (Code 971) while this dispute is pending.

Sincerely,

Isiah Howard Taxpayer / Fiduciary 991 Frelinghuysen Avenue Apt 1K, Newark NJ 07114